

Sally Beauty Supply (NYSE: SBH) | Short Thesis

MBP Capital x Citadel 2026 Global Stock Pitch Competition | Price Target \$6.65 | Implied Downside 56.33%



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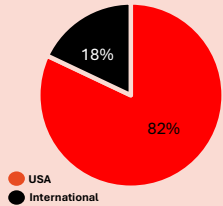
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Company Overview

Sally Beauty Holdings (SBH) is an omni-channel specialty beauty retailer and professional distributor focused on professional-quality hair color and care, serving both DIY consumers and licensed salon professionals through its two main segments: Sally Beauty (SBG) & Beauty Systems Group (BSG).

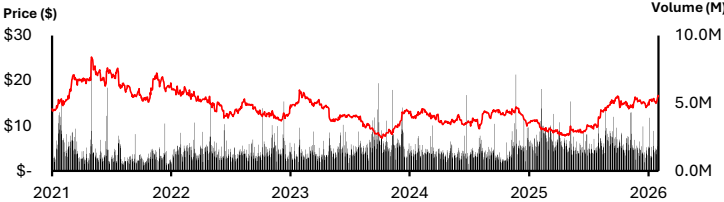
Revenue By Geography:



Market Data: (2/6/2026)

Price	\$16.62	Float %	98.5%
Mkt. Cap	\$1,633	FY24 Rev	\$3,723
Beta	1.15	52-W Low	\$7.54
EV/EBITDA	4.6x	52-W High	\$17.92
D/E	196.8%	P/E	8.79x

Stock Price Over Time



Market View

The Street's current constructive view on Sally Beauty Holdings is anchored in a self-help, cash-harvest narrative. Recent upgrades, led by Raymond James, frame SBH as transitioning from a perceived value trap into a consistent grower through operational execution and capital discipline heading into FY26 **Bull framing rests on five pillars**:

Recessionary "Trade Down" Hedge

Analysts view SBH as a beneficiary of the softening macro environment, positioned to capture demand from consumers moving away from high-end salons to DIY hair color and care. (Known as the "Lipstick Index.") In this view, SBH it is an **offensive market share gainer** in a downturn.

Store Refreshes Comp Catalyst "Sally Ignited"

The "Sally Ignited" remodel program is expected to improve store productivity and recapture demand in the fragmented professional/retail niche. Remodels are positioned as a durable comp tailwind, providing a "newness" factor that has historically driven higher basket sizes.

Marketplaces as Incremental Reach

Integrations with **DoorDash, Uber Eats, and Instacart** are viewed as expanding addressable demand, particularly for time-constrained professionals. The Street assumes these partnerships offer high-margin convenience that offsets traffic softness without meaningful cannibalization.

Cost Cutting Initiative "Fuel for Growth"

The **Fuel for Growth** program, targeting **\$120M in cumulative savings by the end of 2026**, is expected to drive operating leverage. Consensus treats these restructuring benefits as durable, underwriting stable margins even if top-line growth remains muted.

Capital Return as Risk Floor

With steady free cash flow (projected at **\$150M-\$200M annually**), SBH is framed as a cash-generative asset capable of aggressive buybacks. At a P/E of ~8.79x, the stock is positioned as a "Value Compounder" where the buyback yield effectively caps downside risk.

This view is critical because SBH's valuation no longer reflects distress; it reflects confidence that self-help and defensive positioning can substitute for organic demand growth. Any evidence that: e-commerce growth is diluting margins (as SBH becomes a "price taker"), restructuring benefits are being eaten by fulfillment costs, or the "recession hedge" fails because consumers cut DIY beauty alongside luxury, would directly challenge the high-conviction assumptions currently embedded in the stock price.

Investment Thesis

Thesis 1:

SBH's core value proposition is built around **in-store interaction**. Customers visit physical locations to receive product advice, confirm quality, and purchase professional-grade products at a perceived discount. This **advisory-driven model depends on foot traffic**, which serves as the **primary proxy for in-store volume** and conversion. With **4,329 stores generating an average of \$855K in annual revenue per location (FY2025)**, the model's **unit economics are highly sensitive to traffic deterioration**. As e-commerce penetration increased from 7.8% (FY2021) to 10.7% (FY2025), **in-store foot traffic declined structurally**, bypassing the in-person advisory transaction entirely, thereby forcing SBH to **compete on price rather than service**. Therefore, customer behavior has become **more price-sensitive and less loyalty-driven**. Price sensitivity makes SBH more of a **price taker**, transforming revenue into a simple **price x volume equation** in which **volume becomes the dominant driver**. We quantify this deterioration using **state-level foot traffic data covering 2,564 stores (59% of the U.S. base)** across five regions from 2023 to 2025. Results reveal broad based secular decline. The West and Southeast convey persistent negative traffic trends, declining **0.38% and 0.23%** annually. The Midwest and Southwest remain near flat, indicating stagnation rather than growth. Only the Northeast shows traffic growth, but this reflects store rationalization rather than demand strength. SBH closed stores in this region, concentrating remaining traffic into fewer locations and artificially inflating per-store metrics. Critically, SBH closed 319 stores across these regions over three years (approximately 12% of stores tracked), yet **traffic trends did not stabilize**, proving the problem is **demand-side deterioration, not oversaturation**. When customers leave, they **exit the channel entirely**, migrating to e-commerce or abandoning the category. Management's blended reporting of in-store and e-commerce revenue masks this erosion, allowing the narrative that "comp sales are stabilizing" when the store channel (historically SBH's moat and 89% of revenue) is in structural decline.

Thesis 2:

SBH operates a **centralized distribution and fulfillment network** designed to efficiently supply a **large, store-based retail footprint**. This model assumes **stable demand, high inventory turns, and consistent replenishment volumes** that allow **fixed distribution costs to be spread across a broad sales base**. When these conditions weaken, exemplified by L'Oreal FY2024 exit to capture distribution margins directly, which compressed SBH's gross margins by 30bps, the **cost structure becomes increasingly sensitive to small changes in demand fulfillment mix**. As order mix shifts toward e-commerce and delivery, SBH incurs **structurally higher per-unit costs**. These include incremental labor for picking and packing, higher freight expense, third-party delivery and marketplace fees, and increased exposure to returns and shrinkage. At the same time, **store-level fixed costs—rent, labor, utilities, and inventory holding—do not decline proportionally with demand**, reducing operating leverage. Margin sensitivity is further amplified by SBH's inventory and sourcing model. A concentrated supplier base limits purchasing flexibility, while slower inventory turnover increases carrying costs, markdown risk, and obsolescence. Maintaining broad SKU availability across both professional and DIY categories requires holding excess inventory, which becomes more expensive as demand normalizes or softens. Because SBH reports margins on a **consolidated basis**, this fragility is not immediately visible in period-to-period results. Cost pressures can be temporarily offset by cost-cutting programs, mix shifts, or favorable timing, but the underlying economics remain exposed. Even modest increases in labor, freight, or fulfillment intensity can disproportionately impact gross margin. As a result, SBH's margin profile is asymmetrically exposed to downside. The distribution network is optimized for scale and stability, not volatility or mix shifts, making profitability increasingly sensitive to operational disruptions and cost inflation. This creates a **structurally fragile margin structure** that is difficult to defend through efficiency initiatives alone.

Regional Summary	No. of Stores			Avg Implied Avg/Store by Region		
	2023	2024	2025	2023	2024	2025
Northeast	291	259	255	2.09%	2.16%	4.11%
Midwest	608	541	537	-0.22%	-0.20%	-0.20%
Southeast	662	582	576	-0.27%	-0.23%	-0.23%
Southwest	449	410	405	0.00%	0.01%	0.01%
West	554	499	497	-0.40%	-0.38%	-0.38%

OVERALL SUMMARY

TOTAL PRODUCTS TESTED	40 products
WEIGHTED AVG AMAZON DISCOUNT	\$13.68
TOP 5 SUPPLIERS % OF TOTAL PURCHASES	47% (from FY2024 10-K)

DATA COLLECTION NOTES

Date Collected:	2/6/2026
Methodology:	Manual price check across 3 channels (Sally.com and Amazon) for 40 products from Top 5 suppliers

Catalyst Path

1. Supplier Friction Explored

Wella, a portfolio company of KKR, is one of SBH's main suppliers and is anticipating an IPO valued at \$4.3 billion. To justify this valuation, Wella is likely to aggressively pursue high-margin e-commerce channels, like with their launch of Wellastore. As Wella matures its direct-to-consumer and professional-only digital platforms, it will heavily impact traditional distributors like SBH's Beauty Systems Group (BSG).

2. "Sally Ignited" Deceleration

While the market is optimistic about the remodel program. Several factors point to it being a potential decelerator. The program's effectiveness relies on recapturing fragmented demand. The shift toward e-commerce undermines the advisory-driven model these stores are meant to support. If the \$120 million savings are reinvested into these remodels and fail to reverse the broad-based foot traffic deterioration across 53% of its store base, the program becomes a drag on capital rather than a catalyst for growth.

3. Breakdown of "Lipstick Index"

The bullish view that SBH is a "recession hedge" is increasingly fragile. The boom in DIY hair color was a "pull-forward" of demand from the 2020 lockdowns. Consumers are now returning to professional salons or opting for "prestige" brands found at competitors like Ulta. If upcoming macro data shows that consumers are trading down past professional-grade DIY (SBH's niche) into mass-market drugstores, the "Lipstick Index" narrative breaks, invalidating the stock's defensive valuation.

4. Structural Margin Warning Signs

The core of the short thesis remains the structural fragility of SBH's margin profile. Incremental e-commerce revenue is increasingly cannibalized by high logistics costs and third-party delivery fees from partners like DoorDash and Instacart. Inventory turnover remains stagnant at approximately 1.9x. Without a total supply chain overhaul, higher digital volume only accelerates inventory obsolescence and markdown risks.

Timeline

Today - Q1 2026

Wella IPO speculation introduces supplier disintermediation risk into the narrative while "Sally Ignited" reinvestment continues without observable traffic inflection.

Q2 2026

Incremental reinvestment fails to stabilize foot traffic, e-commerce mix continues to rise, and early margin leakage emerges, flattening earnings momentum.

Q3 2026

Gross margin misses despite stable revenue as promotional intensity increases and price-taking behavior becomes explicit, driving the first estimate cuts.

Q4 2026

Supplier disintermediation risk repriced as channel strategies clarify, e-commerce cannibalization accelerates, and "lipstick index" defense breaks.

Q1 2027 - Onward

Structural margin compression becomes consensus, fixed-cost deleverage overwhelms offsets. Stock will see a business-quality downgrade and multiple resets.

Risks and Mitigants

High Impact

2

1

3

High Probability

Risk 1: Trend Tailwinds Drive Foot Traffic Boosting In-Store Sales Revenue

New ventures, such as its subscription service "Colorist on Demand" for salons, its store modernization, or its ongoing LCOD program, can drive a surge in foot traffic for SBH. Its impact will be great as a reversal in traffic trends forces a "short squeeze" as the market revalues the company as a growth play. At the same time, due to its leadership in the haircare market, SBH has a good position to implement its new initiative

Mitigant 1: Significant Structural Shift and Mass Store Closure

Even if new initiatives gain some traction, they are fighting a structural shift. The "DIY" hair color boom seen during the 2020 lockdowns was a pull-forward of demand. Now, consumers are returning to salons or choosing "prestige" brands found at Ulta. Any "acceleration" is likely a temporary blip rather than a long-term trend reversal.

Risk 2: Higher than Expected In-store to E-commerce Conversion Boosts Penetration

E-commerce penetration driving organic traffic is unlikely because SBH relies on discounts and marketing to attract customers as a price-taker. In the case of organic traffic, leading to higher penetration than expected, we expect this to increase topline revenue, leading to upside

Mitigant 2: Incremental Sales From E-com Will be Cannibalized by Operations

Higher penetration doesn't address the blended margin erosion. SBH's supply chain is optimized for high-margin, low-velocity "advisory" transactions in-store. SBH e-commerce revenue is low margin plus high logistics costs. With penetration exceeding expectations, the incremental revenue is offset by last-mile fulfillment. SBH would need to decrease inventory turnover, higher digital volume without a total supply chain overhaul, to avoid a structural 'efficiency trap' where incremental e-commerce revenue is cannibalized by last-mile logistics and inventory obsolescence.

Risk 3: Management Success in "Fuel for Growth" for SBH to Beat Estimates

The "Fuel for Growth" program is a primary driver for the Street's bullish outlook, as it allows SBH to manufacture earnings beats through aggressive store closures and corporate streamlining. However, there is a structural limit to how much a specialty retailer can cut before it degrades the core business.

Mitigant 3: Management Cost-Cutting Will Bleed to Business Core and Valuation

Penetrating the e-commerce market and focusing on new product development, SBH stands between cost-cutting and increasing investment to ensure its competitiveness within the market, and especially against its major competitors like ULTA and BBWI. At the same time, Fuel for Growth has been implemented at a negative y/y growth since its launch, making its efficiency uncompromised stepping into FY26, since margins can only be squeezed so far before hurting the customer experience, which is a focus for retailers like SBH

Valuation

The valuation analysis suggests that SBH is meaningfully overvalued relative to both intrinsic value and peer-based trading multiples. A discounted cash flow analysis, using conservative assumptions and a WACC of 7.88%, implies a share price of approximately \$6.65, representing roughly 56.33% downside from the current trading price. This downside is reinforced by the multiples analysis, where implied prices across EV/EBITDA and P/E frameworks consistently fall below the current market valuation.

Company Information

Multiple Table

Company name

EV/ EBITDA

2025E

Include

[Y/n?]

P/E

2025E

Include

[Y/n?]

ULTA BEAUTY, INC. (XNAS:ULTA)

17.3x

Yes

0.6x

Yes

BATH & BODY WORKS, INC. (XNYS:BBWI)

5.9x

Yes

0.0x

Yes

COTY INC. (XNYS:COTY)

6.6x

Yes

0.0x

Yes

E.L.F. BEAUTY, INC. (XNYS:ELF)

23.4x

Yes

0.8x

Yes

THE ESTEE LAUDER COMPANIES INC. (XNYS:EL)

20.0x

Yes

0.5x

Yes

INTERPARFUMS INC (XNAS:IPAR)

7.8x

Yes

0.7x

Yes

HELEN OF TROY LIMITED (XNAS:HELE)

4.4x

Yes

0.2x

Yes

TARGET CORPORATION (XNYS:TGT)

7.4x

No

0.0x

No

AMAZON.COM, INC. (XNAS:AMZN)

19.3x

No

0.0x

No

CVS HEALTH CORPORATION (XNYS:CVS)

10.5x

No

0.0x

No

Implied Share Price by Period by Multiple

Current Price

\$ 15.13

2024A

LTM

NTM

2025E

EV/EBITDA

4.08

4.04

4.17

4.68

Implied Upside/(Downside)

-73.2%

-73.5%

-72.6%

-69.3%

P/E

8.70

2.49

3.94

0.19

Implied Upside/(Downside)

-42.9%

-83.6%

-74.2%

-98.7%

DCF Valuation

Date	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2027	6/30/2027	9/30/2027	12/31/2027	3/31/2028	6/30/2028
Period	Q1 26E	Q2 26E	Q3 26E	Q4 26E	Q1 27E	Q2 27E	Q3 27E	Q4 27E	Q1 28E	Q2 28E	Q3 28E
FCFF	69.15	72.36	72.57	70.61	76.25	77.68	78.96	77.82	84.96	87.69	89.27
Discounted Free Cash Flow	69.15	71.00	69.87	66.70	70.68	70.66	70.47	68.15	73.00	73.93	73.85

Terminal Value @ 2% TGR

1,281.45

Implied Enterprise Value

2,058.90

Cost of Capital Calculation

Enterprise Value

Cost of Equity	10.59%
Risk-Free Rate ⁽⁴⁾	4.22%
Levered Beta	1.47
Equity Risk Premium ⁽⁴⁾	4.33%
Cost of Debt	5.14%
Interest Rate	6.50%
Tax Rate	21.00%
Equity %	50.32%
Debt %	49.68%
WACC	7.88%

Cash +	149.16
Debt -	(1,562.97)
Equity Value	645.10
# of Shares Out	97.00
Implied Share Price	6.65
Current Share Price	15.13
Upside (Downside)	-56%

(1) All financial historical information was pulled from the S&P Capital IQ Platform, Bloomberg Terminal, and SEC Edgar Filings on 2/5/2026.

(2) SG&A and COGS Margin Assumptions for Q3/Q4 2025E & 2026E reflect management projections for cost-cutting measures. From 2027 onwards, we assumed management cost-cutting results would persist.

(3) 2.25bps rate cuts priced into 2026, flat afterwards. Assume constant debt level at \$900mm to reflect halt of management deleveraging effort. Management would instead focus on buybacks.

(4) The risk-free rate reflects the 10-year U.S. Treasury yield as of February 6th, and the equity risk premium is sourced from Damodaran's 2025 implied U.S. equity risk premium estimate.

(5) For the beta deleveraging calculation, TGT, AZMN, and CVS were excluded from the peer universe to ensure comparability in operating leverage and capital structure assumptions.

(6) FY25, FY26, and FY 27 are calculated with 91.25 days per quarter. FY28 is adjusted for the leap year with 91.3125 days per quarter.